QUARTERLY INVESTOR REPORT

Kestrel Gardens | Denver, CO

Investment	Kestrel Gardens
Quarter	3Q 2024
Report Date	October 19, 2023
Sponsor	Sunbelt Ridge Acquisitions
Occupancy	92.2%

Investment Overview

Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift. Occupancy stands at 91.6% with an average resident length of stay of 9 years.

Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Occupancy stands at 90.6% with an average resident length of stay of 7 years. Projected levered IRR is 9.0% with an equity multiple of 1.18x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 89.2% with an average resident length of stay of 6 years. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day.

Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Occupancy stands at 90.4% with an average resident length of stay of 7 years. Service requests are tracked through a work-order system with an average completion time of 17 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members.

Risk Considerations

Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 95.1% with an average resident length of stay of 5 years. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. Projected levered IRR is 3.4% with an equity multiple of 1.15x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Service requests are tracked through a work-order system with an average completion time of 46 hours. Collections for the period were 93.0% of billed charges, with bad debt of 5.0% of gross potential income.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 23 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 12 hours.

Business Plan Progress

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Investment Overview

The community provides assisted living and memory care services under a state-issued license with 7 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Occupancy stands at 90.3% with an average resident length of stay of 7 years. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Occupancy stands at 96.5% with an average resident length of stay of 8 years. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Occupancy stands at 89.9% with an average resident length of stay of 6 years.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

Risk Considerations

Occupancy stands at 88.3% with an average resident length of stay of 9 years. Projected levered IRR is 10.8% with an equity multiple of 1.12x over the hold period. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Occupancy stands at 92.4% with an average resident length of stay of 9 years. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 4.1% with an equity multiple of 1.22x over the hold period.

Property Operations

The community provides assisted living and memory care services under a state-issued license with 12 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 47 hours. Collections for the period were 88.4% of billed charges, with bad debt of 5.6% of gross potential income. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care.

Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 90.9% with an average resident length of stay of 11 years. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 42 hours.

Risk Considerations

Occupancy stands at 92.2% with an average resident length of stay of 11 years. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Energy	02/16/23	Q2 2027	$793,000	$704,158	Deferred
Amenity renovation	Interior	03/26/23	Q2 2027	$223,000	$27,444	Bidding
Door hardware	Interior	09/10/25	Q2 2026	$604,000	$272,371	In progress
Security camera upgrade	Life Safety	01/14/24	Q1 2027	$477,000	$276,794	Bidding
Landscape / irrigation	Site	09/07/24	Q1 2025	$353,000	$147,615	Deferred
Elevator modernization	Building	06/24/24	Q3 2026	$679,000	$75,361	Approved
Lobby renovation	Life Safety	09/29/24	Q4 2027	$163,000	$79,325	Deferred
Water heater replacement	Building	09/15/26	Q2 2025	$786,000	$20,059	Bidding
Elevator modernization	Building	03/28/25	Q3 2025	$414,000	$244,678	Deferred
Parking lot resurfacing	Energy	12/07/26	Q2 2027	$104,000	$75,070	Approved
HVAC replacement	Building	12/10/23	Q3 2025	$719,000	$51,412	In progress
Pool resurfacing	Interior	10/31/25	Q2 2025	$262,000	$38,974	Deferred
Door hardware	Building	07/31/25	Q2 2027	$651,000	$210,137	Deferred
Lobby renovation	Site	11/24/26	Q2 2026	$727,000	$710,643	Deferred
Door hardware	Energy	05/02/25	Q3 2026	$211,000	$126,149	Deferred
Roof replacement - Bldg C	Life Safety	03/22/25	Q1 2025	$131,000	$38,962	Approved
Signage / monument	Building	08/11/24	Q1 2025	$897,000	$308,509	In progress
Signage / monument	Site	11/03/26	Q1 2026	$777,000	$775,333	Complete
Fence replacement	Energy	11/15/24	Q1 2025	$234,000	$92,489	Complete
Parking lot resurfacing	Energy	02/25/23	Q3 2026	$419,000	$20,704	Deferred
Parking lot resurfacing	Life Safety	06/02/26	Q1 2025	$530,000	$185,341	Deferred
Security camera upgrade	Life Safety	11/11/26	Q4 2025	$439,000	$4,726	In progress
Fire alarm panel upgrade	Site	03/11/25	Q4 2026	$209,000	$194,662	Approved
Lobby renovation	Site	01/31/23	Q2 2027	$314,000	$205,425	In progress
Signage / monument	Energy	08/24/25	Q2 2027	$308,000	$284,341	Bidding
Unit interior upgrades	Building	07/19/23	Q4 2025	$736,000	$417,015	Complete
Unit interior upgrades	Site	02/23/26	Q4 2027	$723,000	$212,914	In progress
Fire alarm panel upgrade	Site	03/18/23	Q4 2025	$215,000	$69,394	Bidding
ADA compliance	Energy	10/29/26	Q4 2025	$817,000	$492,050	Complete
Pool resurfacing	Life Safety	09/25/25	Q4 2025	$543,000	$72,564	In progress
Exterior paint	Interior	05/26/26	Q3 2026	$506,000	$210,541	Deferred
Door hardware	Interior	01/20/25	Q4 2027	$97,000	$47,495	Deferred
Security camera upgrade	Energy	05/02/25	Q4 2025	$175,000	$80,749	Deferred
Fire alarm panel upgrade	Site	04/09/23	Q2 2025	$474,000	$380,919	Approved
ADA compliance	Life Safety	07/20/24	Q2 2026	$376,000	$199,706	In progress
Sewer line repair	Interior	06/12/25	Q3 2025	$267,000	$245,559	Bidding
Amenity renovation	Interior	12/08/24	Q2 2025	$890,000	$633,794	Approved
LED lighting retrofit	Site	05/09/24	Q3 2027	$473,000	$458,777	Bidding
Lobby renovation	Life Safety	06/27/23	Q1 2027	$181,000	$147,364	Approved
ADA compliance	Site	08/12/24	Q3 2027	$881,000	$544,326	Complete
LED lighting retrofit	Energy	04/12/23	Q3 2025	$841,000	$530,774	Bidding

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Operating Performance

Operating expenses totaled $241,000 or approximately 10.66 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 88.6% with an average resident length of stay of 4 years. The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption.

The community provides assisted living and memory care services under a state-issued license with 42 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Occupancy stands at 92.5% with an average resident length of stay of 5 years. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Investor demand for Senior Housing assets in Denver remains strong with recent trades at capitalization rates between 6.61% and 6.61%.

The Denver Senior Housing market has experienced absorption of 3400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Kestrel Gardens is located in Denver, CO, a market that has recorded 6.6% population growth over the last five years. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. Market vacancy for comparable Senior Housing product stands at 4.5%, down from 6.2% two years ago.

Valuation Discussion

Operating expenses totaled $197,000 or approximately 29.37 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Effective gross income for the trailing period was $84,000, representing a 12.7% increase over the prior year. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Demographics and Employment

Market vacancy for comparable Senior Housing product stands at 10.8%, down from 5.0% two years ago. Investor demand for Senior Housing assets in Denver remains strong with recent trades at capitalization rates between 6.96% and 6.96%. Median household income within a 7-mile radius of the property is approximately $15,000 and has grown 10.5% annually. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift.

Occupancy stands at 91.9% with an average resident length of stay of 12 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Market vacancy for comparable Senior Housing product stands at 9.3%, down from 7.8% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Financial Analysis

The community provides assisted living and memory care services under a state-issued license with 3 full-time caregivers per shift. Debt service coverage ratio was 7.03x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. The going-in capitalization rate of 6.71% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 6.62% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.75x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $141,000, representing a 9.6% increase over the prior year. Average monthly revenue per occupied unit is $6,149, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 15 full-time caregivers per shift.

Demographics and Employment

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$68,319	$67,565	$68,429	$110	0.2%	$584.86
5010 Loss to Lease	$124,253	$128,425	$128,588	$4,335	3.5%	$1,099.05
5020 Vacancy Loss	$96,066	$90,467	$95,254	-$812	-0.8%	$814.13
5030 Concessions	$100,262	$95,808	$99,143	-$1,120	-1.1%	$847.37
5040 Bad Debt	$82,630	$82,207	$86,459	$3,829	4.6%	$738.97
5050 Late Fees	$71,839	$67,722	$68,346	-$3,493	-4.9%	$584.16
5060 Utility Reimbursements	$135,184	$144,299	$150,415	$15,231	11.3%	$1,285.60
5070 Parking Income	$145,717	$150,141	$160,421	$14,704	10.1%	$1,371.12
5080 Application Fees	$34,540	$36,735	$38,635	$4,095	11.9%	$330.21
5090 Pet Rent	$110,100	$114,262	$114,566	$4,466	4.1%	$979.20
5100 Laundry Income	$278,425	$286,623	$287,301	$8,875	3.2%	$2,455.56
5110 Cable/Internet Revenue	$75,077	$69,264	$73,830	-$1,247	-1.7%	$631.03
5120 CAM Reimbursements	$222,298	$212,888	$222,096	-$202	-0.1%	$1,898.25
5130 Tax Reimbursements	$200,676	$203,958	$215,044	$14,368	7.2%	$1,837.99
5140 Insurance Reimbursements	$154,394	$149,527	$158,446	$4,052	2.6%	$1,354.24
5150 Percentage Rent	$149,433	$149,502	$150,378	$945	0.6%	$1,285.28
5160 Misc. Income	$180,472	$183,600	$184,758	$4,286	2.4%	$1,579.13
5170 Payroll - Management	$52,360	$51,832	$52,229	-$131	-0.3%	$446.40
5180 Payroll - Leasing	$271,211	$290,964	$309,216	$38,005	14.0%	$2,642.87
5190 Payroll - Maintenance	$274,563	$270,336	$273,636	-$927	-0.3%	$2,338.77
5200 Payroll Taxes & Benefits	$42,657	$40,832	$42,718	$60	0.1%	$365.11
5210 Repairs - Plumbing	$166,401	$175,260	$187,151	$20,751	12.5%	$1,599.58
5220 Repairs - HVAC	$19,527	$20,653	$20,664	$1,136	5.8%	$176.61
5230 Repairs - Electrical	$115,239	$121,389	$128,053	$12,814	11.1%	$1,094.47
5240 Repairs - Appliances	$265,214	$262,735	$277,276	$12,062	4.5%	$2,369.88
5250 Painting & Decorating	$209,316	$194,760	$204,579	-$4,738	-2.3%	$1,748.53
5260 Flooring	$90,871	$97,278	$97,398	$6,528	7.2%	$832.46
5270 Make-Ready / Turnover	$128,953	$134,025	$143,399	$14,445	11.2%	$1,225.63
5280 Landscaping Contract	$223,527	$220,951	$226,642	$3,115	1.4%	$1,937.11
5290 Snow Removal	$186,272	$191,492	$192,733	$6,461	3.5%	$1,647.29
5300 Janitorial	$58,819	$60,044	$63,993	$5,173	8.8%	$546.95
5310 Pest Control	$171,519	$168,655	$171,400	-$120	-0.1%	$1,464.95
5320 Trash Removal	$262,961	$248,447	$262,162	-$799	-0.3%	$2,240.70
5330 Elevator Contract	$16,627	$17,483	$17,773	$1,146	6.9%	$151.91
5340 Fire & Life Safety	$241,582	$259,691	$271,475	$29,893	12.4%	$2,320.30
5350 Security	$277,208	$267,533	$274,126	-$3,082	-1.1%	$2,342.95
5360 Electricity - Common	$242,863	$247,497	$249,548	$6,685	2.8%	$2,132.89
5370 Gas - Common	$189,225	$183,225	$195,428	$6,204	3.3%	$1,670.33
5380 Water & Sewer	$220,985	$225,690	$229,624	$8,640	3.9%	$1,962.60
5390 Telephone/Internet	$42,127	$41,255	$42,884	$757	1.8%	$366.53
5400 Advertising	$144,691	$138,593	$144,749	$57	0.0%	$1,237.17
5410 Resident Events	$23,828	$23,505	$23,526	-$301	-1.3%	$201.08

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Disclaimer and Confidentiality

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Kestrel Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Kestrel Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. This document relates solely to Kestrel Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. This document relates solely to Kestrel Gardens and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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